

Chapter #12

Organizational plan:

- ⇒ An organizational plan is basically a "to do" list for an organization.
- ⇒ It lists out the plan of work, programs, and organizational growth over a period of time - six months, a year or five years.
- ⇒ The tasks involved, who is responsible for them, and when they all be done.

An organizational plan helps to:

- Set priorities for work.
- Make sure tasks get done on time.
- Focus on thing at a time.
- Share work among staff, board members & volunteers.
- Make goals clear to investors.
- Get handle a big project by breaking them down.
- See the big picture of what organization is doing.

Develop the management team

⇒ management's ability and commitment to the new venture are significant to the investors.

⇒ Investors demand that the management team not operate the business as past time venture.

⇒ it is assumed that the management team is prepared to operate the business full time and at a modest salary.

⇒ Drawing out large salaries for the management team is unacceptable to an entrepreneur and considered to be a lack of psychological commitment to the business.

List Legal forms of business?

⇒ Basic legal forms are:

Proprietorship:

⇒ form of business with single owner, unlimited liability, control over all decisions

⇒ Receive all profits.

⇒ Simplest and most common structure to start business.

⇒ Unincorporated business owned & run by single individual

⇒ owner is responsible for all the business debts, losses & liabilities

Partnership:

⇒ form of business with 2 or more individuals with unlimited liability

⇒ Pooling resources to own business

⇒ Two or more individuals who

are agree to share in the profit and losses of business venture.

⇒ Combine resources and expertise to pursue common business goals

Types

General

Limited

⇒ Advantages:

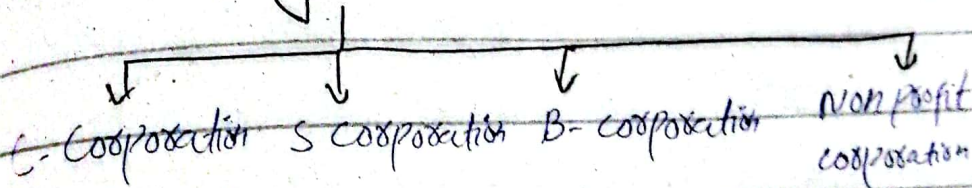
- Resource pooling

- Shared responsibility

Corporations

- ⇒ complex and formalized structure for business
- ⇒ legal entity separate from its owners
- ⇒ Stakeholders have limited liability
- ⇒ Run by stakeholders
- ⇒ Transferability of ownership
- ⇒ managed by a board of directors

Types



what functions should be performed by management team?

⇒ The team must be able to accomplish three functions:

- Create the business plan
- identify fundamental changes in the business as they occur.
- make adjustments to the plan based on changes in the environment and market that will maintain profitability.

Define S-corporation?

⇒ A special type of corporation where profits are distributed to stakeholders and taxed as personal income.

⇒ Designed to avoid the double taxation characteristic of C-corporation.

Advantages:

- Avoid double taxation by allowing income to pass through to shareholders.
- Provides the same liability as a C corporation, protecting shareholder personal assets.

Disadvantages:

- ⇒ Strict eligibility requirements
- ⇒ Limited to 100 shareholders
- ⇒ Shareholders may need to pay taxes on income even if they don't receive a distribution.

What is limited liability company?

Def:

⇒ Combines features of both corporation and partnerships.

⇒ Type of business entity that provides its owners with limited liability protection while allowing for flexible management and taxation options.

Advantages:

- ⇒ most states do not tax LLC
- ⇒ one or more individuals, corporations, partnerships, trusts or other entities form an LLC.
- ⇒ members share income, profit, expense, deduction, loss and credit and equity of the LLC among themselves.

What is C-corporation?

⇒ A type of corporation or business that is legally separate from its owners (called shareholders). It can make money, own property, pay taxes, and be sued independently of its owners.

Pos:

- ⇒ Protects personal assets
- ⇒ Easier to raise money
- ⇒ Transferable ownership
- ⇒ Continuous existence

Conse:

- ⇒ Double taxation
- ⇒ More cost and complexity

How to design the organization?

- ⇒ The design of the organization will be the entrepreneur's formal and explicit indication to the members of the organization as to what is expected of them.
- ⇒ Typically, these expectations can be grouped into the following groups:
 - Organization structure
 - Planning, measurement and evaluation scheme
 - Rewards
 - Selection criteria
 - Training
- ⇒ Design should be simple in which the entrepreneur can perform all tasks.

Q. What is the role of board of directors?

⇒ An entrepreneur may find it necessary in his or her organization plan to establish a board of directors or board of advisors.

Functions:

- Reviewing operating & capital budget
- Developing long term strategic plans for growth & expansion
- Supporting day to day activities
- Resolving conflicts among owners or shareholders
- Ensuring the proper use of assets
- Developing a network of information sources for the entrepreneur

Purpose:

- ⇒ Provide important leadership & direction for the new ventures.

Q. How to select board members?

⇒ The members of board members should be carefully selected by considering the following criteria:

- 1) Select individuals who can work with a diverse group and will commit to the venture mission.
- 2) Select candidates who understand the market environment
- 3) Select candidates who will show good judgment in business decision making

Q. Role of board of advisors?

⇒ They serve only in an advisory capacity.

- No legal status
- Formal part of a venture
- Loosely tied to the organization
- Meet less frequently
- Useful in family business
- Selection process is similar to the BOD
- Provide reality check

Q. What strategies should be considered in creating effective and +ive organization culture?

⇒ Entrepreneur desired culture should match the business strategy outlined in the business plan.

⇒ The leaders of the organization must create a workplace where employees are motivated and rewarded for good work.

⇒ The entrepreneur should be flexible enough to try different things.

⇒ It is necessary to spend extra time in the hiring process.

⇒ The entrepreneur needs to understand the significance of leadership in the organization.